

ADVANTAGE Daily Drilling Fluids Report - 61



INTEQ

Rpt Date 21/Jan/2006		Well Name/No Bilabri DX 1		Section Name/No 8 1/2" Section #5		Mud System SYN-TEQ (PARA)	
Job# 1		Spud Date 22/Nov/2005		MD 3200.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep Tex Richards/ Robert Holst		Contractor Dolphin Drilling Ltd		Contractor Rep Brian Meechan / Paul Shepard	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
8 1/2	HC	HCM408/HCC		19	168.00	Total Hole	Continental Ensco FA-1600	5 1/2	12.00	97.00	0.0855	0	
Drill Collars			Drill Pipe			851.25	Continental Ensco FA-1600	5 1/2	12.00	97.00	0.0855	0	
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits	Continental Ensco FA-1600	5 1/2	12.00	97.00	0.0855	0	
		5	4.276	2624.86	13 3/8	12 3/8	370						
		5	3	64.88	9 5/8	8.681	Tot Active						
		5	3	9.28			1221.25	Circulation Times					
		6 11/16	3	9.02			In Storage	Surface to Bit			min/stks		
							388	Bottoms Up			min/stks		

Mud Properties				Max Ann Velocity		Hole Information			
Property	Fluid Spec	1	2	3	AV Riser	ft/min	Standpipe Pressure	0 psi	Water Depth
Sample From		Active Pit	Active Pit		AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate
Check Time		06:30	18:30		AV Open Hole	ft/min	Solids Analysis		
MD m		3200.00	3200.00		Vc Open Hole	ft/min	Property	1	2
TVD m		2974.00	2974.00		Vc Drill Pipe	ft/min	LGS %	3.61	2.61
Bit Depth m		2741.00	2741.00		Min Ann Velocity		LGS lb/bbl	32.92	23.81
Inc deg		32.80	32.80		AV Riser	ft/min	HGS %	16.75	17.55
Density ppg	10.7-16.0	12.8	12.9		AV Casing	ft/min	HGS lb/bbl	246.57	258.31
Funnel Visc. sec/quart	70.0-100.0	98.0	88.0		AV Open Hole	ft/min	Avg Dens Sol sg	3.9162	3.9927
Test Temp degF		110.0	120.0		Bit Information				
Rheol Temp degF		140.0	130.0		Size	8 1/2 in			
PV cP		36	30		Hours On Bit				
YP lbf/100ft^2	20-25	38	15		Bit Number				
10sec Gel lbf/100ft^2		15	7		BHA Number	11	Rheology		
10min Gel lbf/100ft^2		28	18		Depth In	2770.00 m	600 RPM	110	75
HTHP Filtrate cc		3.2	3.4		Bit RPM		300 RPM	74	45
HTHP Cake in/32		2.0	2.0		WOB	klbf	200 RPM	60	35
HTHP Temp degF		250.0	250.0		Nozzles	3x20:18	100 RPM	41	24
HTHP Pressure psi		500	500		Bit Hydraulics		6 RPM	13	7
Retort Water %		19.00	18.00		TFA	1.1689 in^2	3 RPM	11	6
Retort Base Fluid %		59.00	60.00		Nozzle Vel	ft/sec			
Retort Solids %		22.00	22.00		Bit Press Loss	psi			
Corrected Solids %		20.36	20.16		HHP / Area	HP/in^2	Hydraulic Analysis		
Oil:Water Ratio		76:24	77:23		HHP	%	Behavior Index (n)		
Alk (Whole Mud-POM) cc/cc		1.1	0.9				Consistency Index (k)		
CI (Whole Mud-Clom) cc/cc		40000	44000				ECD @ Bit Depth		
Ca (Whole Mud-Caom) cc/cc		0	0				ECD @ Casing Shoe		
Excess Lime lb/bbl		1.4	1.2		Fluid Comments/ Recommendations				
Brine Density sg		1.22	1.25		Wait on Barite and SBM from Boat. Got the same (200 tons of Barite, and 1000 bbls of mud) Plus LCM Products. toke 750 bbls from boat. Increase mud system to 12.9 ppg. Mixed 70 bbls of LCM (Soluflake fine 35 ppb) Loss 75% of Drilling fluid. Call boat and toke 230 bbls extra. Raise mud weight to 12.9 ppg. Continue circulating. Mixed and extra 70 bbls of LCM Soluflake F. And pumped. @ 3004m				
NaCl % wt		0	0						
CaCl2 % wt		25	28						
Elect. Stab.V		600.0	495.0						
Sand %		0.90	0.90						
					Drilling Comments				
					Continue to monitor well on trip tank While waiting for Barite and SBM. Received mud and increase all surface mud up to 12.9 ppg. Mix LCM pill. Circulated and condition mud to 12.9 ppg. T.I.H. To 3004m. Pumped LCM pill and displace the same. Attempt to wash down to 3014m without success. Work out pipe and mix LCM Pill. Pumped the same and displace @ 3004m. P.O.O.H. to shoe.				

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Jose Rodriguez / Waboso Peter	234-803-4020440	Onne Port Harcourt	234-84-462609	Ogaree Lawson	40319.32 USD	2069136.41 USD	532978.29 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

**BAKER
HUGHES**

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Job# 1		Spud Date 22/Nov/2005			MD 3200.00 m		Progress 0.00 m		Present Activity Tripping		
Operator Peak Petroleum Indust. Limited			Company Rep Tex Richards/ Robert Holst			Contractor Dolphin Drilling Ltd		Contractor Rep Brian Meechan / Paul Shepard			
Field/Lease Bilabri			Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN	
Solids Control Equipment											
Name	#	Mfr	Hours hours	Screen Sizes		Act Volume Lost bbl		Res Volume Lost bbl		Comments	
CENTRIFUGE	1	SWACO	0.0			0.00		0.00			
CENTRIFUGE	2	SWACO	0.0			0.00		0.00			
DESANDER	1	SWACO	0.0			0.00		0.00			
DESILTER	1	SWACO	0.0			0.00		0.00			
MUD CLEANER	1	SWACO	18.0	2 x 210		1.00		0.00			
SHALE SHAKER	1	Brandt	0.0			0.00		0.00			
SHALE SHAKER	1	SWACO	0.0			0.00		0.00			
SHALE SHAKER	2	Brandt	0.0			0.00		0.00			
SHALE SHAKER	3	Brandt	0.0			0.00		0.00			
SHALE SHAKER	4	Derrick Equipments Co	18.0	175, 200, 200		3.00		0.00			
SHALE SHAKER	5	Derrick Equipments Co	18.0	175, 175, 200		3.00		0.00			
SHALE SHAKER	6	Derrick Equipments Co	18.0	175, 175, 175		3.00		0.00			
				Total Volume Lost		10		0			
Volumes											
Additions bbl				Losses bbl				Total Volumes bbl			
Mud Added	980	Weight Materials	90.03	Downhole	921	Left In Pit		Starting Volume	1467.7	Riser w/o Pipe	193.29
Brine		Water		Cased Off		Trip Losses		Daily Additions	1077.89	Casing w/o Pipe	728.22
Base Fluid		Product	7.86	Left In Hole		Injected		Daily Losses	936	Open Hole w/o Pipe	
Recycled		Other		Discharged		Spill To Environment		Ending Volume	1609.59	String Displacement	70.27
				SCE	10	Onshore Disposal		Net Change	141.89	String Capacity	170.91
				Evaporation	5	Returned				Total Hole w/ Pipe	851.25
				Other Losses						Total Active	1221.25
										Total Reserve	388.00
IADC Hours											
Wait	10.5		Circulate		6		Miscellaneous			7.5	
BHDF Fluids Rep		BHDF Rep Phone		Warehouse		Warehouse Phone		Coordinator		Daily Cost	
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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN			
Primary Currency USD				Secondary Currency				Totals USD			
Daily Product Cost		38969.32		Daily Product Cost		0.00		Primary Product		1969764.73	
Daily Tax		0.00		Daily Tax		0.00		Secondary Product		0.00	
Debit/Credit		0.00		Debit/Credit		0.00		Primary Engineering		89775.00	
Daily Engineering Cost		1350.00		Daily Engineering Cost				Secondary Engineering		0.00	
Total Daily Cost		40319.32		Total Daily Cost		0.00		Primary Total		2069136.41	
Total Inventory Value		532978.29		Total Inventory Value		0.00		Secondary Total		0.00	
									Deck Load		999496 lb
Products and Services											
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk											
BARITE - Imported		1000 kg			200			60	140	313.54	37.97
Oil Based Product											
CALCIUM CHLORIDE (97%)		1000 kg									
CALCIUM CHLORIDE (97%)		25 kg	280						280	2.95	3.32
CARBO-GEL 2		25 kg	160						160	0.29	0.33
CARBO-TROL HT		25 kg	100						100	1.13	1.26
OMNI-COTE		55 USgal	4		8				12	0.58	0.06
OMNI-MUL		55 USgal	14		24		2		36	4.10	2.69
OMNI-PLEX		55 USgal	12						12	0.83	0.93
OMNI-TEC		55 USgal	21						21	0.87	1.41
PARA-TEQ BASE FLUID		1 bbl	723						723	54.99	53.85
SA-58		50 lb									
Water Based Product											
BENTONITE		50 kg	5						5		
CALCIUM CARBONATE - FINE		50 kg	100		200				300	6.34	4.71
CALCIUM CARBONATE - MED		50 kg	60		200				260	0.75	
CAUSTIC SODA		25 kg	4						4		
LD-8		55 USgal									
LIME		25 kg	110		200				310	6.35	3.79
MIL-GUAR		25 kg	19						19		
MIL-PAC R		25 kg	20						20		
MIL-PAC LV		25 kg	59						59		
ML 1013 (BIOCID)		55 USgal	1						1		
NEW-DRILL PLUS		25 kg	29						29		
NUT PLUG F		25 lb	40						40		
POTASSIUM CHLORIDE		1000 kg									
POTASSIUM CHLORIDE		50 kg	4						4		
POTASSIUM CHLORIDE BRINE		1 bbl	790						790		
SODA ASH		25 kg	20						20		
XANTHANGUM D		25 kg	24						24		
LCM											
SOLUFLAKE C		25 kg									
SOLUFLAKE F		25 kg	40		200			80	160	2.04	
SOLUFLAKE M		25 kg			200				200		
Other											
BLACK MAGIC SF T</											